Subject Code: DMF-04 *Paper ID:24332*

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER –IV) END TERM EXAMINATION, OCTOBER-2023

TAX PLANNING & MANAGEMENT

[Time: 2 Hours 30 Minutes] *[Maximum Marks: 70]*

[**BL** – Bloom's Taxonomy Levels (1- Remembering, 2- Understanding, 3 – Applying, 4 – Analysing, 5 – Evaluating, 6 - Creating)
CO – Course Outcomes]

Following are the course outcomes of the subject: - TAX PLANNING & MANAGEMENT

CO	Course Outcome (CO)
CO1	Understand the fundamentals of tax planning and its role in tax liability
CO2	Understand the various heads of income
CO3	Understand and apply to calculate tax liability

(Note- Faculty can add the more CO's as per their subject.)

SECTION-A

Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)

Q.1	Marks	CO	BL
A	**4**	CO - 1	L - 1
B	**4**	CO -1	L – 1
C	**4**	CO - 1	L – 2
D	**4**	CO - 1	L – 2
E	**4**	CO -1	L -1

SECTION-B

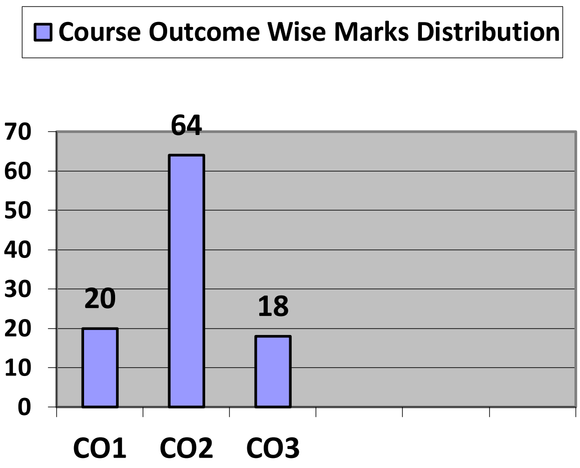
Attempt any 3 questions out of the following: (Long Answer Type Questions)

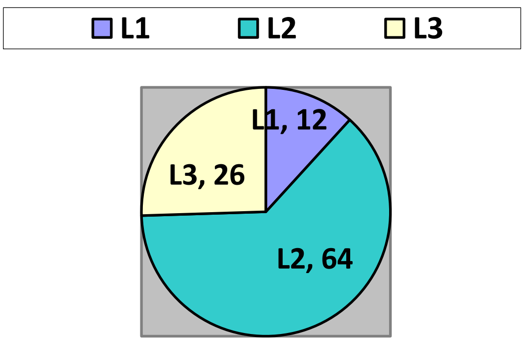
Q. No	Marks	CO	BL
2 (A)	**8**	CO - 2	L -2
2 (A)	**8**	CO - 2	L -2
2 (B)	**8**	CO - 2	L -3
2 (B)	**8**	CO - 2	L -2
3 (A)	**8**	CO - 2	L -2
3 (A)	**8**	CO - 2	L -2
3 (B)	**8**	CO - 2	L -2
3 (B)	**8**	CO -2	L -2

SECTION-C

Attempt all parts of the following: (Caselet / Numerical)

Question	Marks	CO	BL
4 (A)	**9**	CO - 3	L - 3
4 (B)	**9**	CO - 3	L - 3





Bloom's Level wise Marks Distribution

Moderated By **Head- IQAC** **Dean - Examinations**

Printed Pages: 2 *Roll No:* | | | | | | | | | | | *Subject Code: DMF-04*

Paper ID:24332

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2023

TAX PLANNING & MANAGEMENT

[Time: 2 Hours 30 Minutes] ***[Maximum Marks: 70]***

INSTRUCTIONS:

(i) ***There are THREE sections in this question paper.***
(ii) ***Attempt questions from each section as per the directions.***
(iii) ***Make suitable assumptions wherever necessary.***

SECTION-A
(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following: ***(5×4=20)***

(a) What do you mean by tax management? Explain.
(b) Differentiate 'tax planning', 'tax management' and 'tax evasion'.
(c) Briefly explain various types of companies.
(d) Peterson wants to commence a business in textile by setting up a manufacturing unit which requires huge capital to employ. You are asked to suggest various forms of organization and advise him to select a suitable one considering tax implications and other issues.
(e) Explain provisions related to Minimum Alternate Tax (MAT) under the Income Tax Act, 1961.

SECTION-B
(Long Answer Type Questions)

Attempt all questions ***(4×8=32)***

Q.2. (a) Rohit is employed with LG Pvt. Ltd. on a basic salary of rupees 50,000 p.m. He is also entitled to dearness allowance @ 100% of his basic salary, 50% of which is included in salary as per terms of employment. He gets bonus equal to 2 months basic salary and commission of rupees 10,000 every year. The company gives him HRA of rupees 30,000 per month. He stayed with his parents during April and May, 2022, so he did not pay any rent for these two months and thereafter shifted to Greater Noida in an accommodation for which he paid rent of rupees 15,000 per month to the landlord. Compute his Income from Salary for the assessment year 2023-24.

OR

(a) Explain provisions of Income Tax Act,1961 related to the following
(i) House Rent Allowance
(ii) Rent Free Accomodation

(b) Xavier owns three houses in Delhi, particulars of which are as under:

	House I	House II	House III
Municipal Value	1,20,000	72,000	60,000
Fair Rental Value	1,50,000	75,000	75,000
Standard Rent	1,30,000	80,000	72,000
Actual Rent p.a.	70,000	84,000	21,000
Municipal Taxes	12,000 (due but not paid)	8,000 (paid)	60,000 (including 54,000 paid as advance for next 9 years)

Compute his Income from House Property for the assessment year 2023-24.

OR

(**b**) Explain provisions of section 24 of the Income Tax Act,1961 related to deductions to be claimed from the annual value under the head income from house property.

Q.3. (a) Mohit had purchased certain agricultural land in 2004-05 for rupees 8,00,000. The land was being used for agricultural purposes by him. This land was sold by him on 2.9.2022 for a sum of rupees 33,00,000. In this connection he had to incur expenses @ 1% of sale consideration. He invested rupees 11,50,000 in acquiring an urban agricultural land on 25.3.2023. Compute taxable capital gain for the assessment year 2023-24.
CII for the year 2004-05 is 113 and for 2022-23 is 331.

OR

(a) While computing taxable income from capital gain, certain exemptions are allowed under the Income Tax Act,1961. You are asked to explain provisions of section 54 and section 54 F in this regard.

(b) Compute income from other sources for the assessment year 2023-24 on the basis of following information:

(i) Purchase of 12% IDBI debentures of rupees 1,00,000 on 1.10.2022 directly from IDBI. Due date of interest is 31st March every year.

(ii) Purchased 1000 shares of face value of rupees 10 each of Y Ltd. The company declared a dividend @ 20% this year.

(iii) Purchased 100, 14% debentures of A Ltd listed on stock exchange through a broker @ rupees 100 each on 30.11.22. Due dates of interest are 30th June and 31st December every year.

(iv) Family pension received during the year is 30,000 rupees.

OR

(b) Losses under various heads of income are allowed to be carried forward and set off under the Income Tax Act, 1961. Describe the provisions related to set off and carry forward for each head of income.

SECTION-C

Q.4 Attempt all parts of the following: ***(2×9=18)***

A recently incorporated company just two years ago under the name and style of Auto Roshni Limited with the objective of manufacturing head and tail lights of vehicles. During its second year of operations itself, the company performed extremely well due to its extensive and effective marketing strategies formulated by the expert and experienced management including professionals of relevant fields. The company spent considerable amounts on research, development and recent innovations in the industry in which the company is engaged. Consequently, the company was able to produce high quality lights catering to the need of the automobile companies and to meet their demand of multiple orders of a very large quantity. Apart from the profit and loss statement you have obtained some additional information from the company's financial statements and accounting records for the financial year 2022-23.

Additional Information:

(i) During 2022-23 the company issued 50,000 equity shares of face value rupees 10 each for rupees 30 each. At the time of issue of these 50,000 shares the fair market value per share was rupees 22.

(ii) Depreciation and amortization as allowed according to the income tax provisions is rupees 8 crores

(iii) Capital expenditure incurred on scientific research is rupees 5,00,000

Statement of Profit & Loss of Auto Roshni Limited
for the year ended 31st March, 2023

Particulars	Note No.	Amount (In Crores of rupees)
REVENUE		
Revenue from operations		400.00
Other Income	1	10.00
Total (A)		410.00
EXPENSES		
Cost of material consumed		250.00
Purchase of stock in trade		50.00
Changes in inventory		25.00
Employees Benefit Expenses	2	30.00
Finance cost		5.00
Depreciation and amortisations		10.00
Other expenses	3	2.00
Total (B)		372.00
Profit for the year before tax (A - B)		38.00
Less: Tax provision		10.00
Profit for the year after tax		28.00

Notes to Accounts:

1. Other Income	
Interest on Non Trade Investments	3.00
Rental Income from residential houses	7.00
	10.00
2. Employees Benefit Expenses	
Salary and commission to employees	22.00
Allowances	6.00
Bonus to employees	1.50
Medical reimbursements	0.50
	30.00
3. Other Expenses	
Provision for bad debts	2.00

4(a) Compute taxable Income from Profits and Gains of Business or Profession for the assessment year 2023-24

4(b) Compute Total Income for the assessment year 2023-24 and tax liability of the company for the same.